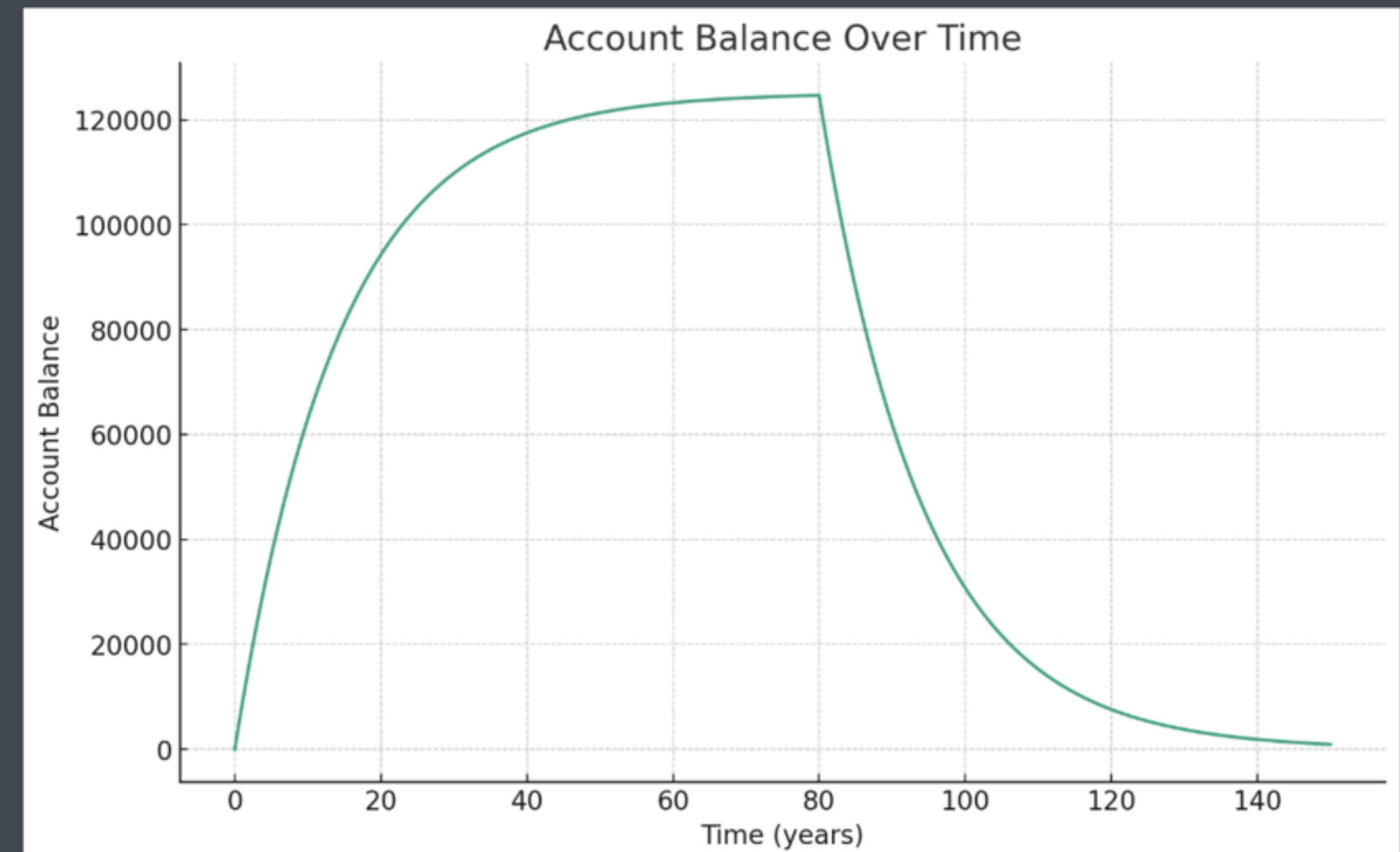


# Circles features: Demurrage

Circles employs *demurrage* which means *money decay*. If you hold on to money it reduces in value. And the more you have, the more it decreases.

The following graph visualizes the balance of an account over time, assuming no economic activity and continuous minting of all CRC.



# Circles features: Demurrage

This reduces wealth inequality. So progressive tax is part of Circles.

Wealth inequality is a dangerous part of current financial system.

If understood as a tax, then the tax would be negative at first (you get money), but once your balance reaches the threshold of 125.000 Circles, it turns positive (you lose money).

